production overheads. The auditor should get a certificate from production manager about the portion of overheads related to semi-finished goods. He should also examine the method of absorption of overheads as a percentage of raw materials, labour and volume of production for fair allocation.

- **Finished Goods:** These are the goods, which are ready for the consumers. The stock of finished goods provides a buffer between the production and the market. If there is purchase of finished goods for resale, their valuation should be at purchase price and a reasonable proportion of direct expenses incurred on them, such as freight, duty, taxes etc., Whatever the method of valuation is adopted, the auditor must confirm that valuation of finished goods should never be at a rate higher than market price of identical goods in the market.
- **Consumable Stores and Spare Parts:** 'Spare' as the name suggests, refers to additional or extra to what is required for ordinary use. That purely means an item kept as standby, in case another item of the same type is lost, broken, or worn out. These are purchased for reducing the idle time of machineries and other auxiliary processes in case of sudden breakdowns or any other contingencies. The auditor should confirm the adequacy of spare parts according to plant capacity to reduce idle time by repairing the breakdown of machineries immediately, thereby increasing the production efficiency of concern. It is very helpful to reduce the idle time wages and increase the profitability position of the company.
- **Loose Tools:** These are part of current assets and will be typically found on any Balance Sheets that may be produced for the business. There is another definition of what qualifies as current assets and this is expected to be used within the next 12 months. In the context of verification of loose tools, the auditor should obtain a list of loose tools duly authorised by a responsible officer and examine the same. Revaluation of loose tools is the most appropriate method of valuation. The difference between the cost price and the current price should be treated as depreciation or loss to be charged to the profit and loss account.

Auditor's Duty in Verification

1. **Evaluation of Accounting and Internal Control System:** The auditor should study and evaluate the accounting system and internal controls relating to inventories. This would facilitate him in determining the nature, timing and extent of substantive procedures to be carried out by him. The auditor should review the following aspects of internal controls over stock–in-trade.
    - **Custody**: There must be provision of adequate controls to guard the stock from loss through pilferage, exposure to weather and other hazards. The storage of various items of inventories should be sound enough to protect them against damage, deterioration, etc.
    - **Records:** There should be adequate records of all stock movements, periodically reconciled with accounts and costing records.
    - **Authorization:** All stock movements should be properly authorized.

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